

Hero MotoCorp Ltd

HEROMOTOCO | Consumer Discretionary

ROE	ROCE	OPM
21.1%	182.0%	86.1%
D/E Ratio	Interest Coverage	EPS
0.03	47.3x	■187.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■37,789	■3,742
2023-03	■34,158	■2,800
2022-03	■29,551	■2,329
2021-03	■30,959	■2,936
2020-03	■29,254	■3,659

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Moderate
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	3.5%
Distress Flag	No

✓ Investment Strengths (Pros)

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Return on equity improving for 3 consecutive years shows strengthening business quality

■ Investment Concerns (Cons)

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure